DISCO (6146.T)

Earnings Review: 2Q shipment guidance beats expectations; growth drivers include generative AI/CPO; reiterate Buy

6146.T	12m Price Target: **¥100,000**	Price: **¥69,430**	Upside: **44.0%**

BUY

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2Q shipment guidance above market expectations

1Q3/27 operating profits of ¥49.0 bn, reported after the July 23 close, were broadly in line with our estimate of ¥50.9 bn and the Bloomberg consensus of ¥48.6 bn. 2Q shipment guidance, an important leading indicator for future earnings, calls for ¥141.0 bn (assuming ¥159/$), a level that beats the Bloomberg consensus of just over ¥130 bn. Based on our recent discussions with investors, many held the view that 2Q shipments would be flat to down qoq, given that shipments for HBM were concentrated in 1Q and the number of personnel providing production support from headquarters remained unchanged at c.100 people. Therefore, the company outlook indicating that upward shipment momentum is poised to continue in 2Q leaves a positive impression.

Key points from the earnings call

(1) Shipment results/outlook: 1Q shipment value came in at ¥135.9 bn, beating guidance by ¥3.9 bn. Broken down, equipment missed target by ¥3.0 bn (due to a timing discrepancy in recording sales of demo equipment for advanced packaging R&D applications), while consumables beat by ¥2.0 bn and miscellaneous other items beat by ¥5.0 bn. 2Q shipment guidance of ¥141.0 bn calls for a qoq increase. The company noted that it currently does not expect to record shipments (i.e., sales) of the demo equipment delayed from 1Q during 2Q.

(2) Drivers of 2Q shipments: Disco expects generative AI applications to continue driving equipment shipments, with HBM-related shipments to multiple customers anticipated to follow on from 1Q. The company said equipment shipments for silicon photonics (CPO) are also slated to expand in 2Q (no quantitative disclosure was provided). Meanwhile, it expects shipments to OSATs to decline somewhat in 2Q, partly because shipments were

Key Data

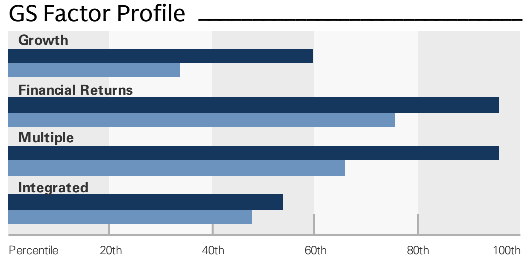
Market cap: ¥7.5tr / $46.2bn
Enterprise value: ¥7.1tr / $43.8bn
3m ADTV: ¥134.5bn / $839.6mn
Japan
Japan Semiconductor, SPE & Precision
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	436.9	587.6	698.5	755.7
Op. profit (¥ bn) New	**185.0**	**291.9**	**362.9**	**394.8**
Op. profit (¥ bn) Old	185.0	291.5	362.7	394.5
Op. profit CoE (¥ bn)	–	–	–	–
EPS (¥) New	**1,249.5**	**2,006.1**	**2,492.0**	**2,711.4**
EPS (¥) Old	1,249.5	2,003.5	2,490.3	2,708.8
P/E (X)	37.9	34.6	27.9	25.6
P/B (X)	8.7	10.0	8.0	6.8
CROCI (%)	42.0	54.0	57.0	55.1

	6/26	9/26E	12/26E	3/27E
EPS (¥)	315.8	507.6	491.9	690.7

GS Factor Profile



6146.T relative to Japan Coverage
6146.T relative to Japan Semiconductor, SPE & Precision

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

DISCO (6146.T)

BUY

Rating since Jun 24, 2022

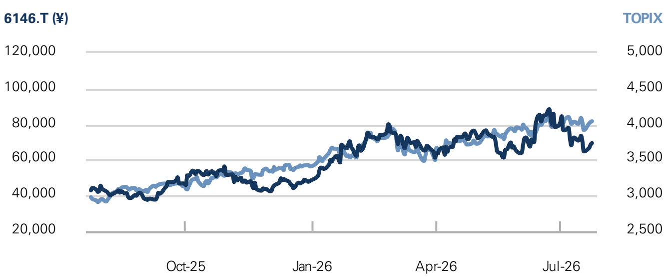
Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	37.9	34.6	27.9	25.6
P/B (X)	8.7	10.0	8.0	6.8
FCF yield (%)	2.0	2.1	2.8	3.3
EV/EBITDAR (X)	24.3	23.1	18.4	16.6
EV/EBITDA (excl. leases) (X)	24.3	23.1	18.4	16.6
CROCI (%)	42.0	54.0	57.0	55.1
ROE (%)	25.1	32.5	32.0	28.8
Net debt/equity (%)	(48.4)	(51.7)	(55.3)	(58.4)
Net debt/equity (excl. leases) (%)	(48.4)	(51.7)	(55.3)	(58.4)
Interest cover (X)	30,831.7	–	–	–
Days inventory outst, sales	117.1	96.0	95.8	99.8
Receivable days	42.0	41.9	44.2	46.2
Days payable outstanding	75.3	59.1	59.2	61.9
DuPont ROE (%)	23.0	29.0	28.8	26.5
Turnover (X)	0.6	0.6	0.6	0.6
Leverage (X)	1.3	1.2	1.2	1.2
Gross cash invested (ex cash) (¥)	396.6	468.3	538.3	594.7
Average capital employed (¥)	283.5	333.0	390.8	440.1
BVPS (¥)	5,419.0	6,919.9	8,648.9	10,210.3

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	11.1	34.5	18.9	8.2
EBITDA growth	11.6	54.4	23.3	8.8
EPS growth	9.3	60.6	24.2	8.8
DPS growth	22.3	51.1	50.7	29.7
EBIT margin	42.3	49.7	52.0	52.2
EBITDA margin	45.7	52.5	54.5	54.8
Net income margin	31.0	37.0	38.7	38.9

Price Performance



	3m	6m	12m
Absolute	(3.6)%	2.2%	62.9%
Rel. to the TOPIX	(11.4)%	(8.3)%	17.9%

Source: FactSet. Price as of 23 Jul 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	436.9	587.6	698.5	755.7
Cost of goods sold	(130.4)	(154.9)	(183.5)	(197.7)
SG&A	(87.3)	(102.8)	(111.1)	(119.2)
R&D	(34.2)	(38.0)	(41.0)	(44.0)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**199.8**	**308.6**	**380.6**	**414.0**
Depreciation & amortization	(14.8)	(16.7)	(17.7)	(19.2)
EBIT	**185.0**	**291.9**	**362.9**	**394.8**
Net interest inc./(exp.)	0.3	0.3	0.4	0.5
Income/(loss) from associates	0.1	0.6	0.7	0.8
Pre-tax profit	**183.8**	**293.8**	**365.0**	**397.1**
Provision for taxes	(48.2)	(76.2)	(94.7)	(103.0)
Minority interest	(0.1)	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**135.5**	**217.6**	**270.3**	**294.1**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**135.5**	**217.6**	**270.3**	**294.1**
EPS (basic, pre-except) (¥)	**1,249.5**	**2,006.1**	**2,492.0**	**2,711.4**
EPS (diluted, pre-except) (¥)	**1,249.5**	**2,006.1**	**2,492.0**	**2,711.4**
EPS (basic, post-except) (¥)	**1,249.5**	**2,006.1**	**2,492.0**	**2,711.4**
EPS (diluted, post-except) (¥)	**1,249.5**	**2,006.1**	**2,492.0**	**2,711.4**
DPS (¥)	505.0	763.0	1,150.0	1,491.0
Div. payout ratio (%)	40.4	38.0	46.1	55.0

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	284.6	388.4	519.4	646.8
Accounts receivable	57.5	77.3	91.9	99.4
Inventory	141.3	167.9	198.9	214.2
Other current assets	11.2	11.2	11.2	11.2
Total current assets	**494.6**	**644.8**	**821.4**	**971.6**
Net PP&E	223.2	239.5	254.8	275.6
Net intangibles	0.3	0.3	0.3	0.3
Total investments	3.9	4.5	5.2	6.0
Other long-term assets	21.4	21.4	21.4	21.4
Total assets	**743.4**	**910.5**	**1,103.1**	**1,275.0**
Accounts payable	22.9	27.2	32.3	34.8
Short-term debt	–	–	–	–
Short-term lease liabilities	–	–	–	–
Other current liabilities	131.5	131.5	131.5	131.5
Total current liabilities	**154.5**	**158.8**	**163.8**	**166.3**
Long-term debt	–	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	0.8	0.8	0.8	0.8
Total long-term liabilities	**0.8**	**0.8**	**0.8**	**0.8**
Total liabilities	**155.3**	**159.6**	**164.6**	**167.1**
Preferred shares	–	–	–	–
Total common equity	**587.8**	**750.6**	**938.1**	**1,107.5**
Minority interest	**0.4**	**0.4**	**0.4**	**0.4**
Total liabilities & equity	**743.4**	**910.5**	**1,103.1**	**1,275.0**
Net debt, adjusted	(284.6)	(388.4)	(519.4)	(646.8)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	135.5	217.6	270.3	294.1
D&A add-back	14.8	16.7	17.7	19.2
Minority interest add-back	0.1	–	–	–
Net (inc)/dec working capital	(21.9)	(42.1)	(40.6)	(20.4)
Other operating cash flow	5.0	(0.6)	(0.7)	(0.8)
Cash flow from operations	**133.5**	**191.6**	**246.7**	**292.1**
Capital expenditures	(32.7)	(33.0)	(33.0)	(40.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	(103.1)	–	–	–
Cash flow from investing	**(135.8)**	**(33.0)**	**(33.0)**	**(40.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(54.8)	(82.8)	(124.7)	(161.7)
Inc/(dec) in debt	–	–	–	–
Other financing cash flows	112.4	28.0	42.0	37.0
Cash flow from financing	**57.6**	**(54.8)**	**(82.8)**	**(124.7)**
Total cash flow	**55.4**	**103.9**	**131.0**	**127.3**
Free cash flow	100.8	158.6	213.7	252.1

Source: Company data, Goldman Sachs Research estimates.

concentrated in 1Q, mainly for China.

(3) Production support: The company thinks the dispatching of c.100 skilled engineers from headquarters to manufacturing sites will continue for the time being (with no major change in headcount). Factory floors are expected to remain busy in 3Q onward, mainly for generative AI applications.

(4) Pricing strategy: Disco has not changed its pricing strategy recently, but it has been able to absorb the impact of higher costs, such as surging raw material prices. Equipment profitability tends to correlate with processing difficulty rather than customer attributes, and margins tend to be higher for generative AI equipment than for mass production applications.

(5) 2Q earnings guidance assumes a gross margin decline of c.1 pp versus 1Q (71.3%) and SG&A expenses of just over ¥34 bn in tandem with shipment value. Disco said results could beat guidance based on acceptance/inspection progress, and that its assumptions for equipment and miscellaneous other items (e.g., maintenance parts) are somewhat conservative, as they are not based on a detailed build-up of current projects. It also mentioned that consumables profitability is rising due to the recent increase in shipment levels.

Market consensus likely to continue rising; reiterate Buy

We fine-tune our earnings estimates to reflect 1Q results, making no major changes, and we leave our 12-month target price unchanged at ¥100,000. We continue to expect shipment levels to ratchet higher, benefiting from technological shifts across advanced packaging formats. These include HBM and CoWoS, as well as EMIB-T, hybrid bonding, and silicon photonics (CPO), which management highlighted this time as a driver of shipments. As a result, we still see considerable room for the market consensus to rise, and we reiterate our Buy rating.

Exhibit 1: Disco: Earnings summary

DISCO (6146.T)														
(JPY mn)		GSE	GSE	GSE	CoE						GSE	GSE	GSE	CoE
Consolidated income statement	3/2026	3/2027	3/2028	3/2029	3/2027	3/2026 1Q	3/2026 2Q	3/2026 3Q	3/2026 4Q	3/2027 1Q	3/2027 2Q	3/2027 3Q	3/2027 4Q	3/2027 2Q
Sales	436,889	587,600	698,500	755,700		89,914	104,623	109,291	133,061	114,308	149,050	143,350	180,892	128,492
Operating profits	184,989	291,900	362,900	394,800		34,480	44,391	47,341	58,777	49,033	73,800	71,500	97,567	55,867
Recurring profits	184,936	293,800	365,000	397,100		33,999	45,466	46,986	58,485	48,441	74,300	72,000	99,059	56,359
Net income	135,521	217,600	270,300	294,100		23,767	32,146	36,726	42,882	34,221	55,000	53,300	75,079	39,579
EBITDA	199,810	308,600	380,600	414,000										
Margins														
Gross profits	70.1%	73.6%	73.7%	73.8%		68.1%	69.5%	71.4%	70.9%	71.3%	73.0%	75.0%	74.6%	
EBITDA	45.7%	52.5%	54.5%	54.8%										
Operating profits	42.3%	49.7%	52.0%	52.2%		38.3%	42.4%	43.3%	44.2%	42.9%	49.5%	49.9%	53.9%	43.5%
Recurring profits	42.3%	50.0%	52.3%	52.5%		37.8%	43.5%	43.0%	44.0%	42.4%	49.8%	50.2%	54.8%	43.9%
Net income	31.0%	37.0%	38.7%	38.9%		26.4%	30.7%	33.6%	32.2%	29.9%	36.9%	37.2%	41.5%	30.8%
R&D	34,156	38,000	41,000	44,000	38,000	7,591	8,070	8,552	9,943	9,366				
D&A	14,821	16,700	17,700	19,200	16,000	3,420	3,570	3,837	3,994	4,004				
Capex	32,708	33,000	33,000	40,000	33,000	4,919	7,963	3,688	16,138	3,351				
EPS (JPY)	1,249.8	2,006.1	2,492.0	2,711.4		219.2	296.5	338.7	395.4	315.5				364.9
DPS (JPY)	505.0	763.0	1,150.0	1,491.0										
BPS (JPY)	5,422.4	6,909.0	8,637.9	10,199.3										
Assumption														
USD/JPY	151	160	160	160		144	148	156	157	160	160	160	160	159
EUR/JPY	176	182	180	180		166	172	181	184	186	180	180	180	182
Revenue by product <Based on shipment>														
Precision Processing Equipment	274,800	383,900	468,100	502,600		74,400	56,800	69,300	74,200	85,500	97,000	96,000	105,400	94,700
Dicer	137,700	188,100	232,400	245,000		38,900	27,900	31,800	38,900	44,800	49,000	45,000	49,300	49,400
Grinder	122,600	173,900	209,900	230,000		32,200	26,000	34,100	30,400	35,300	41,500	46,000	51,100	38,800
Other related equipment	14,500	21,900	25,800	27,600		3,300	2,900	3,400	4,900	5,400	6,500	5,000	5,000	6,500
Consumables	94,700	121,000	139,100	153,000		21,100	23,100	25,000	25,500	27,200	30,000	32,000	31,800	27,200
Maintenance parts and others	72,900	88,800	97,700	107,400		15,600	17,300	19,300	20,700	21,700	20,000	22,000	25,100	17,400
Total	**442,824**	**593,700**	**704,900**	**763,000**		**111,142**	**96,351**	**113,665**	**121,664**	**135,906**	**147,000**	**150,000**	**160,794**	**140,994**
Revenue by product <Based on customer acceptance>														
Precision Processing Equipment	275,300	386,800	471,600	506,200		54,000	63,800	66,700	86,400	66,200	99,850	91,250	129,500	
Dicer	139,800	191,000	236,000	248,800		31,500	34,500	30,600	39,900	35,400	51,850	46,900	56,850	
Grinder	118,000	169,400	204,500	224,100		19,800	26,200	32,800	41,200	27,400	42,850	38,400	60,750	
Other related equipment	17,500	26,400	31,100	33,300		2,700	3,100	3,300	5,300	3,400	5,150	5,950	11,900	
Consumables	96,100	121,000	139,100	153,000		20,700	23,000	25,100	25,300	27,400	30,000	32,000	31,600	
Maintenance parts and others	65,500	79,800	87,800	96,500		15,300	16,700	17,500	20,000	19,400	19,200	20,100	21,100	
Total	**436,889**	**587,600**	**698,500**	**755,700**		**89,914**	**104,623**	**109,291**	**133,061**	**114,308**	**149,050**	**143,350**	**180,892**	**128,492**

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Disco

We are Buy rated on Disco given prospects for earnings growth fueled by its multiple structural growth drivers. Among SPE names in our coverage, Disco produces equipment used in back-end processes, with a global market share of more than 70% in dicers and grinders, which are mainly used for cutting and grinding semiconductor chips. We believe earnings expectations will expand based on the high likelihood of additional investment in both HBM and CoWoS driven by strong generative AI demand, while new growth drivers such as hybrid bonding are also contributing to earnings. We think expectations for stronger earnings will rise further given Disco's multiple structural growth drivers; these include demand for generative AI-related equipment as well as back-end process automation, advanced packaging, and bonding equipment.

Price Target Risks and Methodology - Disco

Valuation methodology: Our 12-month target price of ¥100,000 is based on our FY3/28E EBITDA estimate, the global SPE sector average EV/EBITDA of 18X, and a sector-relative premium of 50% in view of Disco's high profitability (our TP implies FY3/28E P/E of 40X and P/B of 12X). We are Buy rated.

Key risks: Yen appreciation against the US dollar, slowdown in China demand or tightening of export controls, slowdown in AI-related demand, loss of market share, and deterioration in margins.

Disclosure Appendix

Reg AC

We, Shuhei Nakamura and Kaho Otake, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for DISCO is/are relative to the other companies in its/their coverage universe: Advantest, DISCO, Ebara, HOYA, JEOL, Kioxia Holdings, Kokusai Electric, Lasertec, SCREEN Holdings, Tokyo Electron, Tokyo Seimitsu, Ulvac

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Goldman Sachs had a non-securities services client relationship during the past 12 months with: DISCO (¥69,430)

Distribution of ratings/investment banking relationships

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	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

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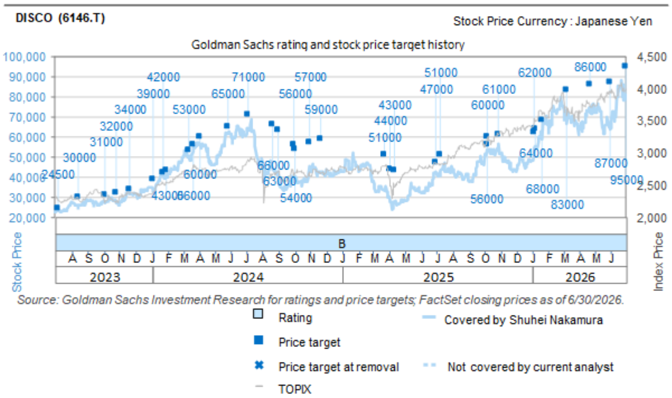
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

DISCO (6146.T)

Date of report	Target price (¥)	Closing price (¥)
06-Jul-26	100,000	78,000
30-Jun-26	95,000	81,260
31-May-26	87,000	65,090
22-Apr-26	86,000	74,830
09-Mar-26	83,000	66,500
21-Jan-26	68,000	58,570
08-Jan-26	64,000	55,590
06-Jan-26	62,000	54,200
29-Oct-25	61,000	56,390
08-Oct-25	60,000	52,140
06-Oct-25	56,000	54,000
09-Jul-25	51,000	41,290
30-Jun-25	47,000	42,630
13-Apr-25	43,000	27,470
04-Apr-25	44,000	27,635
24-Mar-25	51,000	33,060
21-Nov-24	59,000	42,380
01-Nov-24	57,000	42,810
04-Oct-24	54,000	39,710
02-Oct-24	56,000	37,410
02-Sep-24	63,000	41,350
22-Aug-24	66,000	43,560
04-Jul-24	71,000	64,580
27-May-24	65,000	61,790
04-Apr-24	60,000	56,750
21-Mar-24	56,000	52,960
13-Mar-24	53,000	50,000
31-Jan-24	43,000	40,380
24-Jan-24	42,000	40,730
04-Jan-24	39,000	33,630
21-Nov-23	34,000	32,030
26-Oct-23	32,000	26,960
05-Oct-23	31,000	27,940
15-Aug-23	30,000	25,865

Price targets shown in table(s) are unadjusted for corporate actions.

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